

THE GLOBAL ECONOMY



START ▶

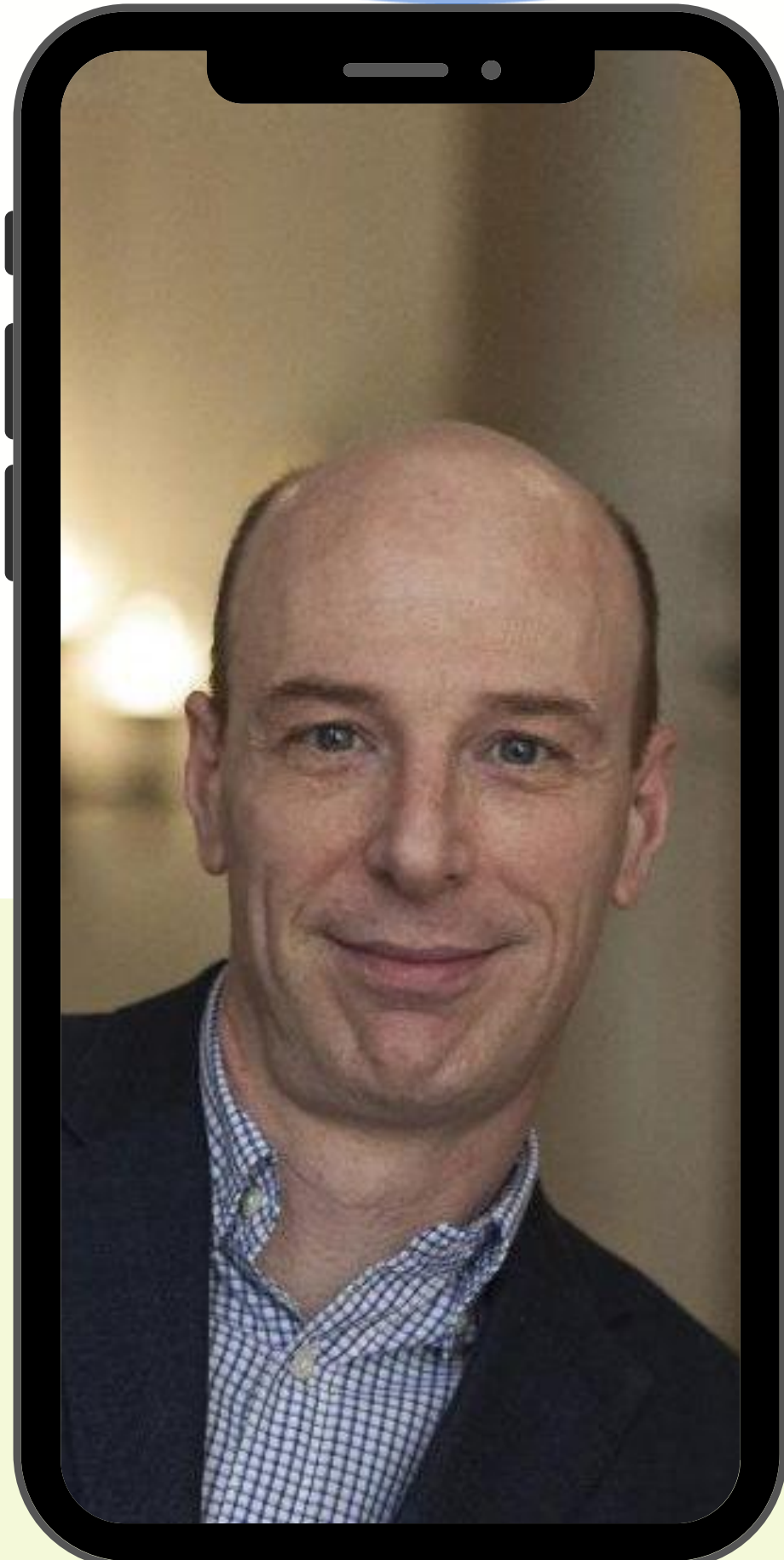


What is Economic Globalization?

- Increasing integration of economies around the world, particularly the movement of goods and service and capital across the borders.

- Sometime refers to the movement of people and knowledge across international border

- István Benczés(2014)





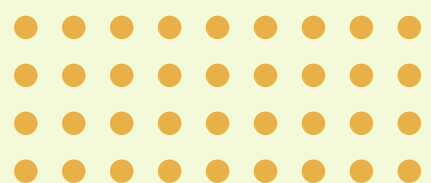
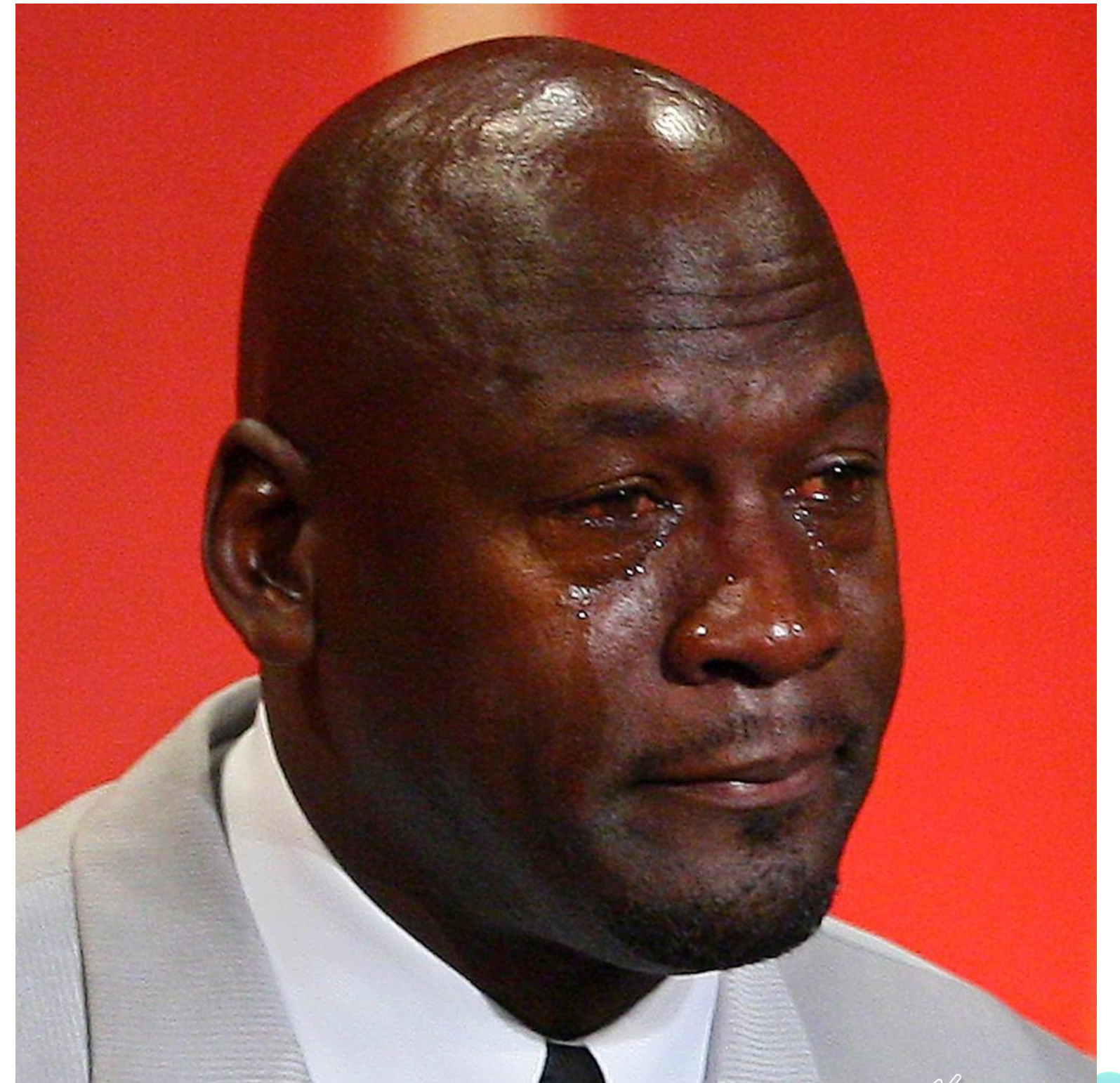
Poor nation and people who inhabit there are subjugated by operations of global Economy.

Not all parts of the world gained from the growth of the global economy.

Not only were or are there losers in this economic competition among states but also certain industries and social classes lose out.

within nations, the poor tends or tended to suffer most when those nations, are forced to repay their debts to other, more developed, nations.

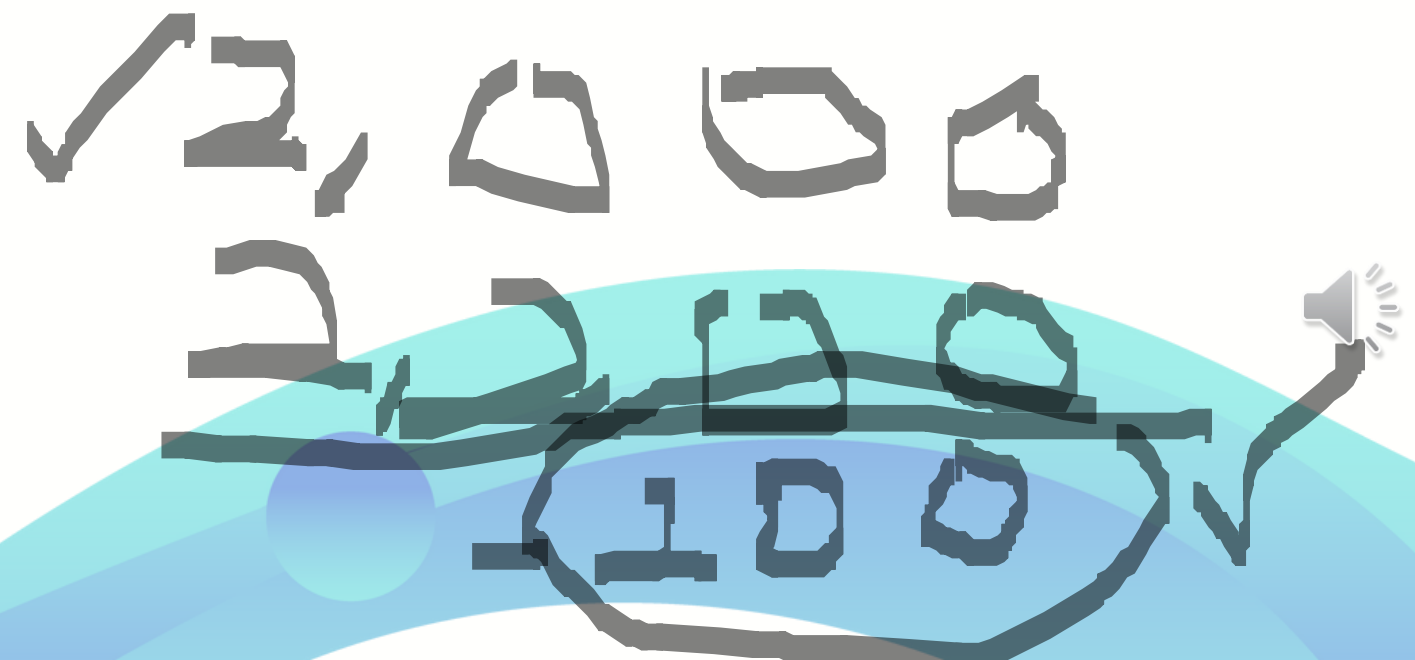
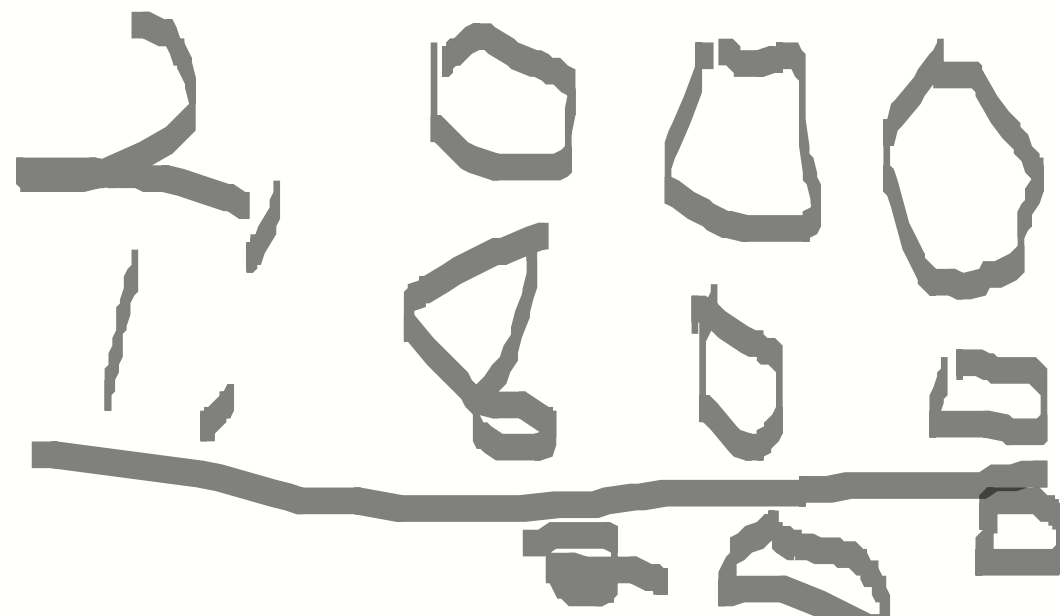
In sum, the global economy of a century “was not equally good for everyone and was bad for many”

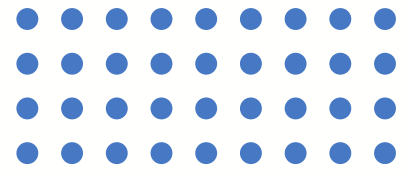


SURPLUS VS DEFICIT

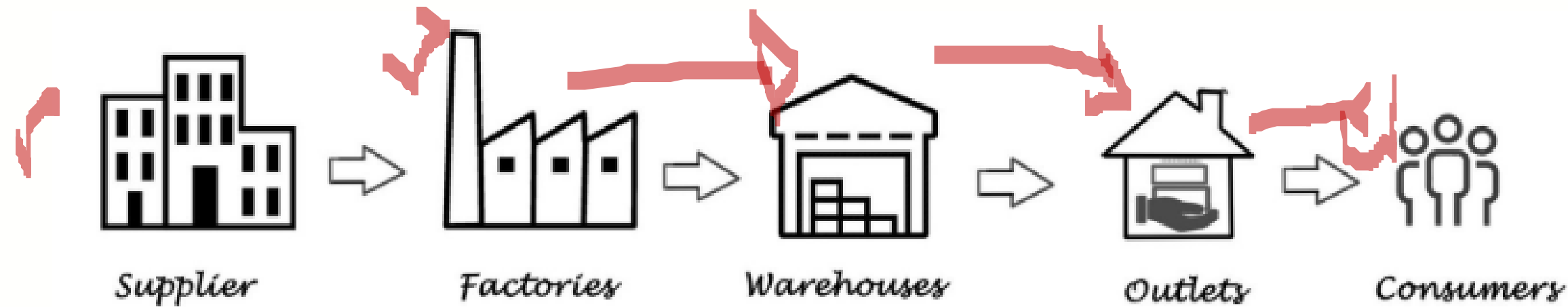
> Surpluses occurs
when the
government taxes are
more than it spends.

> Deficit occurs when
the government
spends more than its
taxes.





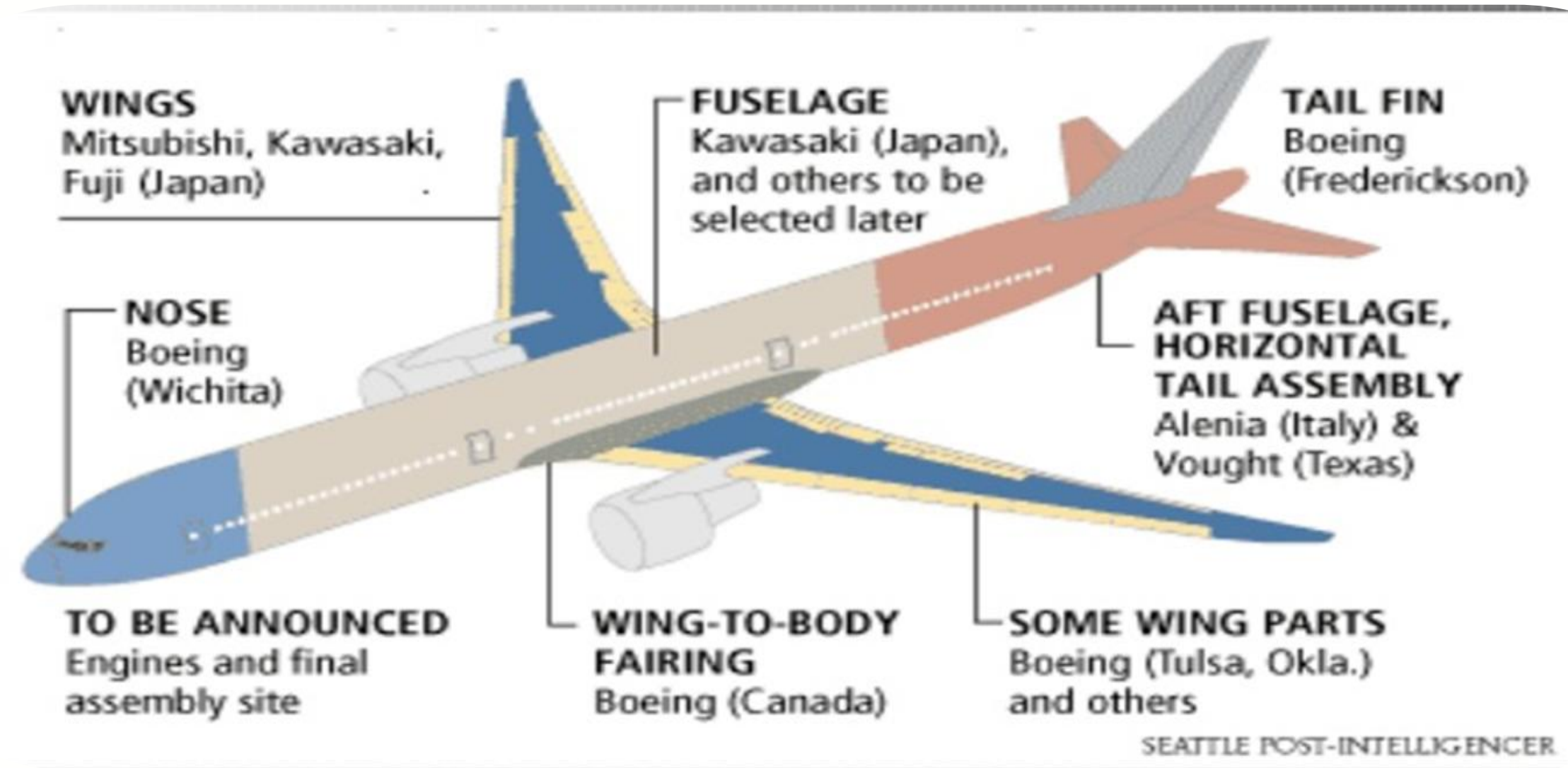
ECONOMIC CHAINS AND NETWORKS



Supply Chains – these are general label for value adding activities in the production process. A supply begins with raw materials and follow value adding activities through variety of inputs and outputs and ultimately to a finished product.

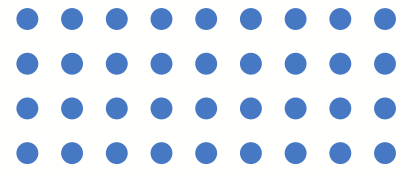


these involve the networks of the producers involved in the process of producing a finished product.



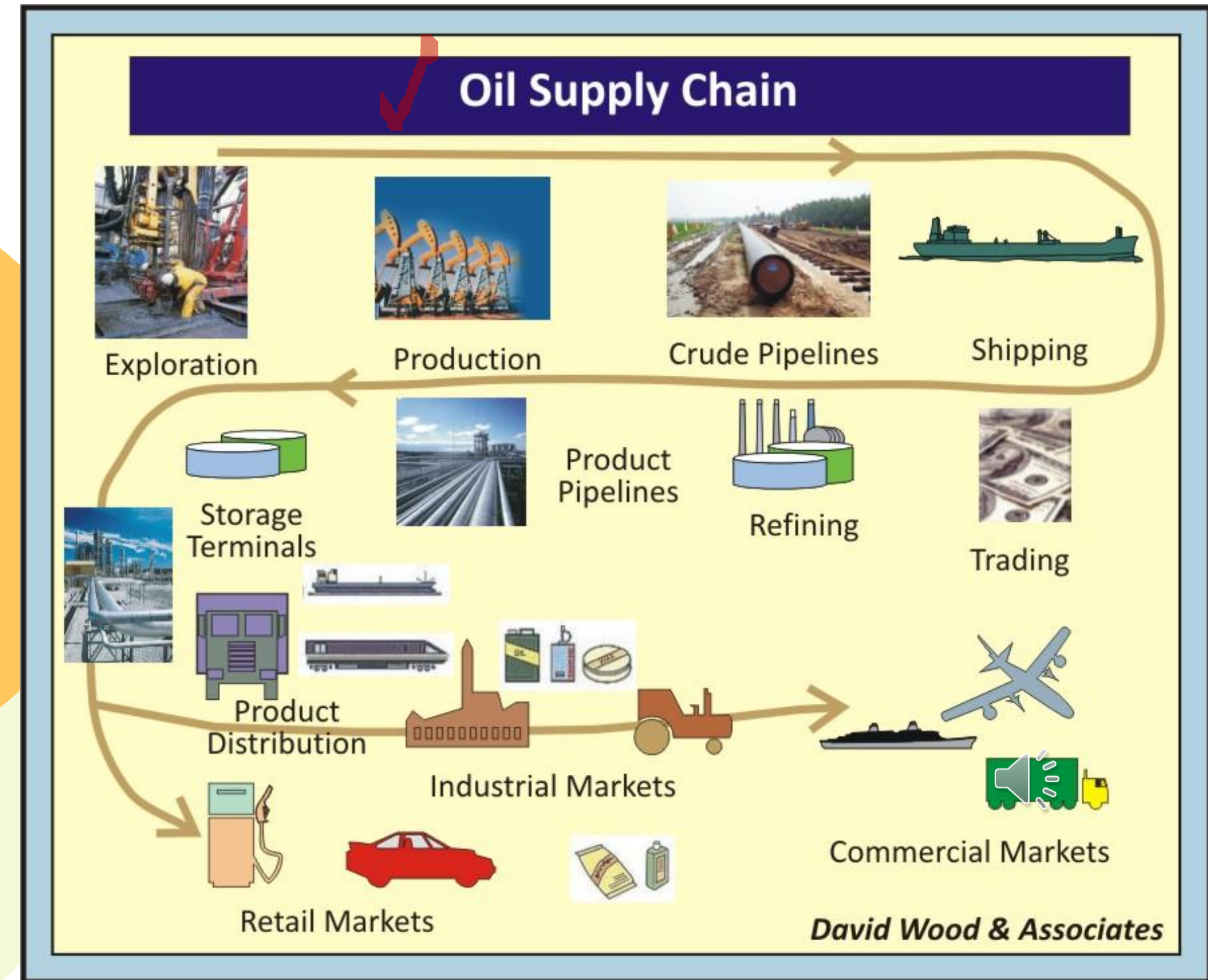
International Production networks





GLOBAL COMMODITY CHAINS

Gereffi and Korzeniewicz bring together the idea of value-adding chains and the global organization of industries. They also accord a central place to the growing importance of sellers of the global product.

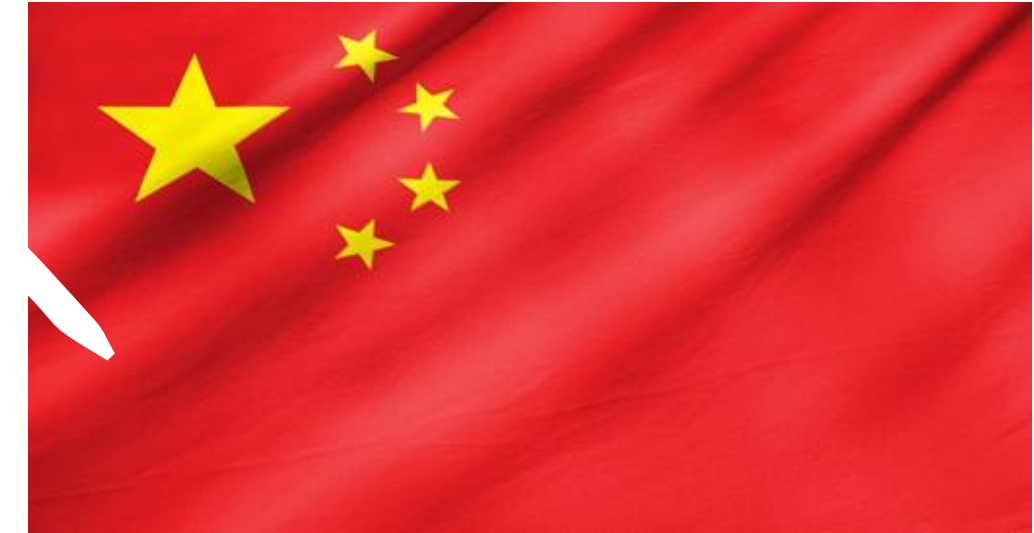


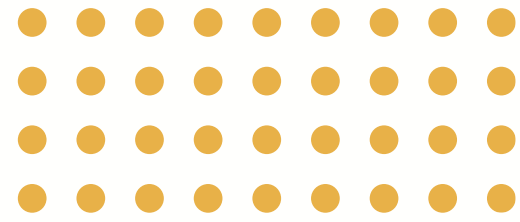
GLOBAL VALUE CHAINS

refer to international production sharing, a phenomenon where production is broken into activities and tasks carried out in different countries. They can be thought of as a large-scale extension of the division of labor



U.S and China trade





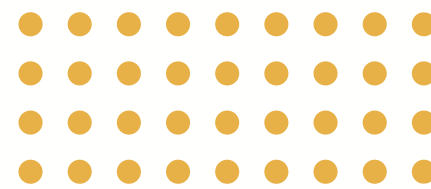
WHAT ARE PHENOMENON CREATED BY THE GLOBAL ECONOMY?



START ▶



Increasing competition for commodities



> soybean

> wheat

> corn



The increasing demands for these commodities and many others is no longer fueled by mainly by the needs of the countries we traditionally think of as highly developed but now, by the massive development in other parts of the world.



OUTSOURCING

- Is the transfer of activities once performed by entity to a business or businesses in exchange for money.

Outsourcing in the economic realm is of the greatest importance and the issue of concern here, it also occurs in many other institutions such as health care and the military.



**MICRO-LEVEL OF
OUTSOURCING** - e.g
parents who outsource the
care of their young children
or aged parents to
institutions, specifically
daycare and assisted living
centers.



**MESO-LEVEL OF
OUTSOURCING** - e.g
restaurants that outsource
the cooking of their food to
outside organization.



**MACRO-LEVEL OF
OUTSOURCING** - deal with it
at the meso and micro-
levels. (e.g British corp.
outsourcing work to one in
India)



CONSUMPTION

- the use of goods and services by the consumers or the purchase of services and goods by the consumers

> Use of credit card

> Hyper consumption

> Hyper debt



CONSUMPTION

Consumers – people who spend money for a certain product or services.



• **Consumer Objects and Services** – much consumption revolves around shopping for objects of all kinds or the products as well as the various services.



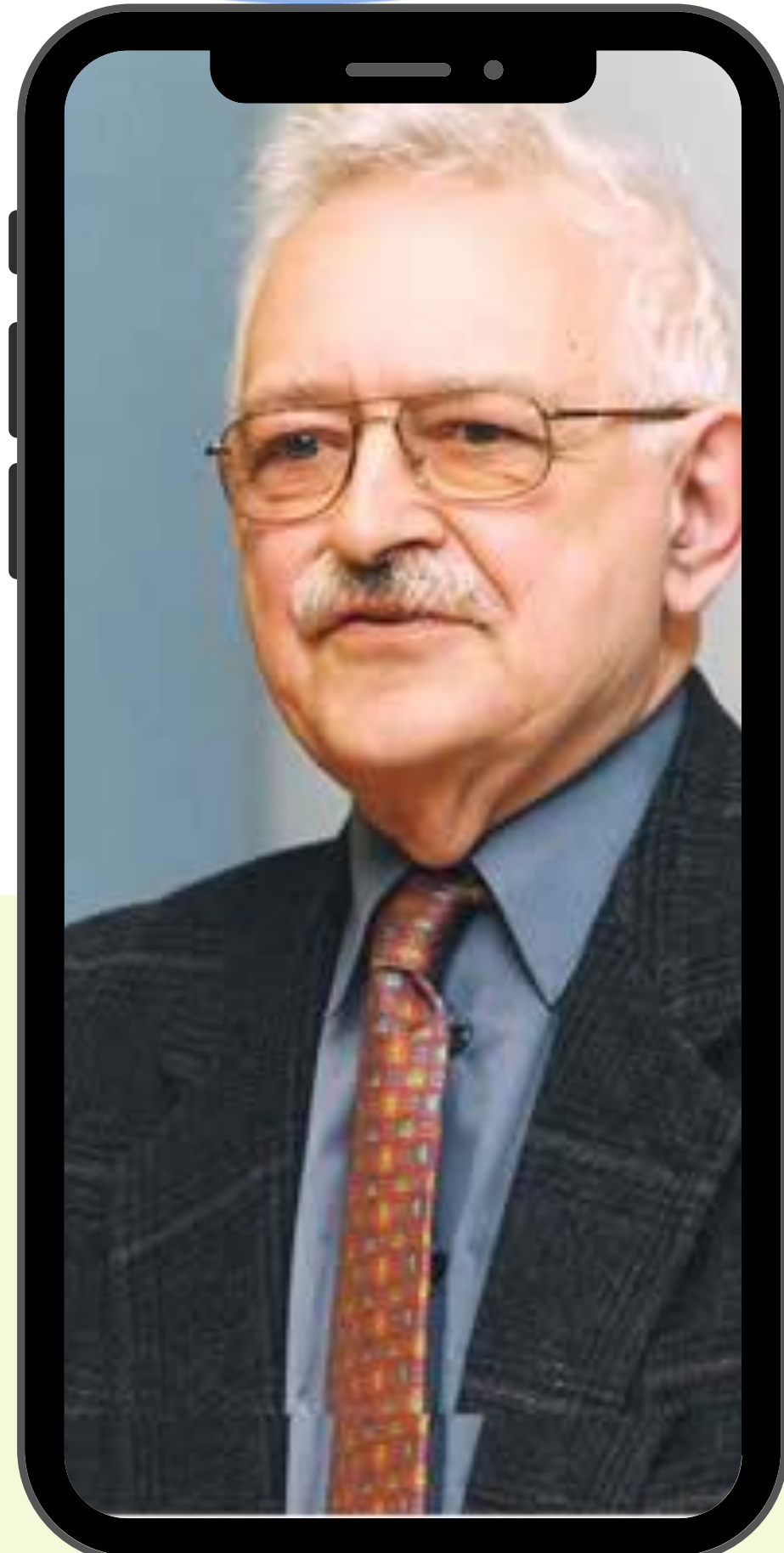
Consumption Process – knowing how to work their way through a shopping mall, use of money and credit cards or make a purchase online



Consumption Sites – such as shopping malls, restaurants, clothing chains, themed park, casino and hotels and internet site such as amazon and e-bay.



Pressure of incorporation



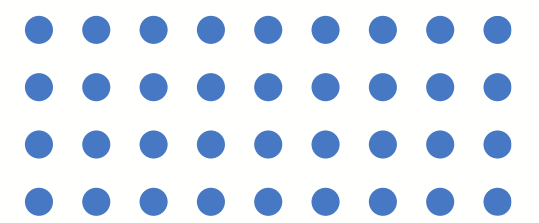
“The pressure for incorporation into the world-economy comes not from the nations being incorporated but rather from the need of the world-economy to expand its boundaries, a need which was itself the outcome of pressures internal to the world economy”

–Immanuel Wallerstein, 1989.



RACE TO THE BOTTOM

The argument is that for less developed countries to compete and succeed in the global economy, they must undercut the competition in various ways, such as offering lower wages, poorer working conditions, longer hours, and other pressures and demands. Nations or States are willing to go further than the others to attract the interest of Multinational Corporations.



THANK YOU!

